Registration number: 00526923

Howden Joinery Limited

Annual Report and Financial Statements

for the Period from 27 December 2015 to 24 December 2016

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Howden Joinery Limited

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Howden Joinery Limited

Company Information

Directors	Theresa Keating Kevin Barrett Clive Cockburn Gareth Hopkins Mark Robson Andy Witts Matthew Ingle Rob Fenwick
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 2 New Street Square London United Kingdom

Howden Joinery Limited

Strategic Report for the Period from 27 December 2015 to 24 December 2016

The directors present their strategic report for the period from 27 December 2015 to 24 December 2016.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs14-19)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 22-26)
- Financial and non-financial KPIs (pgs 17-18, 32-38)
- Future developments (pgs 7, 17)
- Information about environmental matters, social, community and human rights issues (pgs 29-41)
- Description of business model and strategy (pgs 8-13)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 57, 79, 95)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 19 September 2017 and signed on its behalf by:

TKeating

Theresa Keating
Director

Howden Joinery Limited

Directors Report for the Period from 27 December 2015 to 24 December 2016

The directors present their annual report and the audited financial statements for the period from 27 December 2015 to 24 December 2016.

Directors of the company
The directors who held office during the period were as follows:

Theresa Keating

Kevin Barrett

Clive Cockburn (appointed 1 January 2016)

Gareth Hopkins

Mark Robson

Andy Witts

Matthew Ingle

Rob Fenwick

Principal activity
The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots.

Employees
The Company had 8,377 (prior period 7,644)employees during the current period and staff costs amounted to £282.9m (prior year £256.5m).

Dividends
A dividend of £189.0m was proposed and paid during the current period (prior period: a dividend of £348.4m was proposed and paid).

Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 18-19 of the Howden Joinery Group Plc 2016 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Going concern
The Company is able to meet its day-to-day working capital requirements through cash generated from operations. If required, the Company also has access to its parent company's asset-backed lending facility of £140m which expires in July 2019.

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in economic conditions and trading performance. After reviewing the results of this testing, and making due enquiries, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

Howden Joinery Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework' ('FRS 101'). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery Limited

Independent Auditor's Report

We have audited the financial statements of Howden Joinery Limited for the period from 27 December 2015 to 24 December 2016, which comprise the Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the related notes 1 to 26. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 "Reduced Disclosure Framework".

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Statement of Directors' Responsibilities (set out on page 5), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Annual Report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 24 December 2016 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

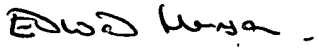
Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and Directors Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.



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Edward Hanson (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

2 New Street Square
London
United Kingdom

19 September 2017

Howden Joinery Limited

Profit and Loss Account for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Turnover	4	1,288,140	1,209,364
Cost of sales		(492,499)	(461,443)
Gross profit		795,641	747,921
Administrative expenses		(532,085)	(512,484)
Operating profit		263,556	235,437
Other interest receivable and similar income	7	1,219	6,487
Interest payable and similar charges	8	(9)	(8)
		1,210	6,479
Profit before tax		264,766	241,916
Tax on profit on ordinary activities	12	(53,914)	(50,270)
Profit for the period		210,852	191,646

The notes on pages 11 to 30 form an integral part of these financial statements.

Howden Joinery Limited

(Registration number: 00526923)
Balance Sheet as at 24 December 2016

	Note	24 December 2016 £ 000	26 December 2015 £ 000
Fixed assets			
Property, plant and equipment	13	101,201	76,418
Investments	14	-	-
		101,201	76,418
Current assets			
Stocks	15	178,287	173,146
Debtors	16	780,990	546,993
Cash at bank and in hand		10,532	6,220
		969,809	726,359
Creditors: Amounts falling due within one year			
Trade and other payables	23	(691,666)	(452,235)
Loans and borrowings	18	(18)	(33)
Income tax liability	12	(53,198)	(48,750)
Creditors: Amounts falling due within one year		(744,882)	(501,018)
Net current assets		224,927	225,341
Total assets less current liabilities		326,128	301,759
Creditors: Amounts falling due after more than one year			
Loans and borrowings	18	-	(18)
Provisions for liabilities	22	(5,101)	(5,200)
Net assets		321,027	296,541
Capital and reserves			
Called up share capital	17	100,000	100,000
Other reserves		19,682	16,763
Retained earnings		201,345	179,778
Shareholders' funds		321,027	296,541

Approved by the Board on 19 September 2017 and signed on its behalf by:

T Keating

Theresa Keating

Director

Howden Joinery Limited

Statement of Changes in Equity for the Period from 27 December 2015 to 24 December 2016

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2015	100,000	16,763	179,778	296,541
Profit for the period	-	-	210,852	210,852
Total comprehensive income	-	-	210,852	210,852
Dividends	-	-	(189,048)	(189,048)
Current tax on share schemes	-	-	473	473
Deferred tax on share schemes	-	-	(710)	(710)
Share based payment transactions	-	2,919	-	2,919
At 24 December 2016	100,000	19,682	201,345	321,027

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2014	100,000	13,014	335,922	448,936
Profit for the period	-	-	191,646	191,646
Total comprehensive income	-	-	191,646	191,646
Dividends	-	-	(348,419)	(348,419)
Current tax on share schemes	-	-	781	781
Deferred tax on share schemes	-	-	(152)	(152)
Share based payment transactions	-	3,749	-	3,749
At 26 December 2015	100,000	16,763	179,778	296,541

Howden Joinery Limited

Notes to the Financial Statements for the Period from 27 December 2015 to 24 December 2016

1 General information

The company is a private company limited by share capital incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 19 September 2017.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Group Plc, a company incorporated in England.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 27 December 2015 have had a material effect on the financial statements, other than FRS 101 whose effects are described in the relevant note to these accounts.

2 Accounting policies (continued)

Revenue recognition
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Property, plant and equipment
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

2 Accounting policies (continued)

Asset class	Depreciation method and rate
Plant, machinery and vehicles	3 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	2 - 15 years

Investments

Investments in securities are classified on initial recognition as available-for-sale and are carried at fair value, except where their fair value cannot be measured reliably, in which case they are carried at cost, less any impairment.

Unrealised holding gains and losses other than impairments are recognised in other comprehensive income. On maturity or disposal, net gains and losses previously deferred in accumulated other comprehensive income are recognised in income.

Interest income on debt securities, where applicable, is recognised in income using the effective interest method. Dividends on equity securities are recognised in income when receivable.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Trade receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, inventories are assessed for impairment. If inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

2 Accounting policies (continued)

Trade payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Borrowings

All borrowings are initially recorded at the amount of proceeds received, net of transaction costs. Borrowings are subsequently carried at amortised cost, with the difference between the proceeds, net of transaction costs, and the amount due on redemption being recognised as a charge to the income statement over the period of the relevant borrowing.

Interest expense is recognised on the basis of the effective interest method and is included in finance costs.

Borrowings are classified as current liabilities unless the company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee.

Assets held under finance leases are recognised as non-current assets of the company at the lower of their fair value at the date of commencement of the lease and at the present value of the minimum lease payments. These assets are depreciated on a straight-line basis over the shorter of the useful life of the asset and the lease term. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance costs in the income statement and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability

Share capital

Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends payable

Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

2 Accounting policies (continued)

Dividends receivable
Dividend income from subsidiary companies is recognised when receivable.

Defined contribution pension obligation
A defined contribution plan is a pension plan under which fixed contributions are paid into a separate entity and has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

For defined contribution plans contributions are paid publicly or privately administered pension insurance plans on a mandatory or contractual basis. The contributions are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as an asset.

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date minus the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise.

Past-service costs are recognised immediately in profit or loss.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

3 Critical accounting judgements and key sources of estimation uncertainty

The Company makes judgements and assumptions concerning the future that impact the application of policies and reported amounts. The resulting accounting estimates calculated using these judgements and assumptions will, by definition, seldom equal the related actual results but are based on historical experience and expectations of future events. The judgements and key sources of estimation uncertainty that may have a significant effect on the amounts recognised in the financial statements are discussed below.

3 Critical accounting judgements and key sources of estimation uncertainty (continued)

Allowances against the carrying value of inventories
The Company reviews the market value of and demand for its inventories on a periodic basis to ensure that recorded inventory is stated at the lower of cost and net realisable value. In assessing the ultimate realisation of inventories, the Group is required to make judgements as to future demand requirements and to compare these with the current or committed inventory levels. Factors that could impact estimated demand and selling prices are the product lifecycles of different ranges, and the extent to which they meet builder's and end user's requirements.

4 Revenue

The analysis of the company's revenue for the period from continuing operations is as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Sale of goods	1,288,032	1,208,850
Dividends received	-	535
Other revenue	108	(21)
	1,288,140	1,209,364

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Gain (loss) on disposal of property, plant and equipment	88	(75)
Gain (loss) on disposal of intangible assets	16	-
	104	(75)

6 Operating profit

Arrived at after charging/(crediting)

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Depreciation expense	15,432	14,030
Write-down of inventory to net realisable value	5,050	3,257
Foreign exchange gains/(losses)	14,488	(11,364)
Rent payable on property	59,795	52,851
Operating lease expense - plant and machinery	12,073	10,910
(Profit)/loss on disposal of property, plant and equipment	(88)	75

7 Other interest receivable and similar income

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Interest income on bank deposits	1	2
Other finance income - intercompany interest	1,218	6,485
	1,219	6,487

8 Interest payable and similar charges

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Interest on bank overdrafts and borrowings	5	1
Interest on obligations under finance leases and hire purchase contracts	4	7
	9	8

9 Staff costs

Some of the Company employees are paid directly by the Company. In addition, there are a number of other employees, who work full-time in the operations of this Company, but who are employed by a fellow Howden Joinery Group PLC subsidiary, Howden Joinery People Services Limited, and whose employment costs are recharged to this Company in full. The figures given below for staff numbers and costs include both groups of employees, in order to give more meaningful information.

The aggregate payroll costs (including directors' remuneration) were as follows:

9 Staff costs (continued)

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Wages and salaries	252,279	227,076
Social security costs	24,324	22,810
Pension costs, defined contribution scheme	3,393	2,907
Pension costs, defined benefit scheme	6,300	6,700
Share-based payment expenses	2,919	3,749
	289,215	263,242

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Production	677	656
Administration and support	721	666
Sales	6,472	6,255
Distribution	507	463
	8,377	8,040

10 Directors' remuneration

During the period and the prior period, only one of the Company's directors was paid by this Company. Details of their remuneration are as follows:

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Received or were entitled to receive shares under long term incentive schemes	1	1
Exercised share options	1	1
Accruing benefits under defined benefit pension scheme	-	1

In respect of the highest paid director:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Remuneration	630	625
Company contributions to money purchase pension schemes	3	23

10 Directors' remuneration (continued)

Defined benefit accrued pension entitlement at the end of the period	54	54
Defined benefit accrued lump sum at the end of the period	1,370	1,215

During the period the highest paid director exercised share options and also received or was entitled to receive shares under a long term incentive scheme.

11 Auditor's remuneration

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Audit of the financial statements	164	148
Other fees to auditor		
All other tax advisory services	134	63

12 Income tax

Tax charged/(credited) in the income statement

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Current taxation		
UK corporation tax	53,671	49,531
UK corporation tax adjustment to prior periods	145	69
	53,816	49,600
Deferred taxation		
Current year	187	(778)
Adjustment in respect of prior years	(459)	730
Effect of changes in tax rates	370	718
Total deferred taxation	98	670
Tax expense in the income statement	53,914	50,270

The tax on profit before tax for the period is not the same as the standard rate of corporation tax in the UK (2015 - the same as the standard rate of corporation tax in the UK) of 20% (2015 - 20.25%).

The differences are reconciled below:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Profit before tax	264,766	241,916
Corporation tax at standard rate	52,953	48,988
Increase (decrease) in current tax from adjustment for prior periods	(314)	798
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	1,303	1,416
Increase (decrease) from effect of exercise employee share options	(397)	(204)
Deferred tax expense (credit) relating to changes in tax rates or laws	369	718
Other tax effects for reconciliation between accounting profit and tax expense (income)	-	(1,446)
Total tax charge	53,914	50,270

12 Income tax (continued)

Deferred tax

On the 8 July 2015, the Chancellor of the Exchequer announced the reduction in the main rate of UK corporation tax to 19% for the year starting 1 April 2017 and a further reduction to 18% from 1 April 2020. These changes were substantively enacted in October 2015.

On the 16 March 2016, the Chancellor of the Exchequer announced a further 1% reduction to the previously announced 18% main rate of UK corporation tax to 17% from 1 April 2020. This change was substantively enacted in September 2016. All deferred tax assets and liabilities have been measured at the tax rates that are expected to apply to the period when the asset is realised or liability is settled.

Deferred tax movement during the period:

	At 27 December 2015 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 24 December 2016 £ 000
Share-based payment	(1,574)	317	710	(547)
Provisions	(998)	48	-	(950)
Accelerated tax depreciation	(1,872)	(268)	-	(2,139)
Net tax assets/(liabilities)	(4,444)	98	710	(3,636)

Deferred tax movement during the prior year:

	At 27 December 2014 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 26 December 2015 £ 000
Share-based payment	(1,631)	(95)	152	(1,574)
Provisions	(639)	(359)	-	(998)
Accelerated tax depreciation	(2,996)	1,125	-	(1,872)
Net tax assets/(liabilities)	(5,265)	670	152	(4,444)

13 Property, plant and equipment

	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation				
At 27 December 2015	89,674	14,640	63,782	168,096
Additions	12,653	16,260	11,390	40,303
Disposals	(900)	-	(3,126)	(4,026)
Transfers	1,837	(7,692)	5,854	(1)
At 24 December 2016	103,264	23,208	77,900	204,372

13 Property, plant and equipment (continued)

	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Depreciation				
At 27 December 2015	62,212	-	29,467	91,679
Charge for the year	5,707	-	9,725	15,432
Eliminated on disposal	(872)	-	(3,068)	(3,940)
At 24 December 2016	67,047	-	36,124	103,171
Carrying amount				
At 24 December 2016	36,217	23,208	41,776	101,201
At 26 December 2015	27,462	14,641	34,315	76,418

14 Investments

The Company directly holds one £1 ordinary share in two subsidiary companies. This holding represents 100% of the issued share capital and voting rights of both of the subsidiary companies.

14 Investments (continued)

Details of the subsidiaries as at 24 December 2016 are as follows:

Name of subsidiary	Principal activity	Country of incorporation and principal place of business	Proportion of ownership interest and voting rights held	
			2016	2015
Howden Joinery Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	100%	100%
Howden Kitchens Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	100%	100%

15 Inventories

	24 December 2016 £ 000	26 December 2015 £ 000
Raw materials and consumables	4,456	5,022
Work in progress	4,137	4,367
Finished goods and goods for resale	169,694	163,757
	178,287	173,146

16 Trade and other receivables

	24 December 2016 £ 000	26 December 2015 £ 000
Trade receivables	96,398	94,952
Receivables from related parties	662,528	434,637
Deferred Taxation	3,636	4,444
Prepayments	17,916	11,803
Other receivables	512	1,157
Total current trade and other receivables	780,990	546,993

17 Share capital

Allotted, called up and fully paid shares

	24 December 2016		26 December 2015	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	100	100	100	100

The Company's share capital at the current and prior period end consisted of 100,000 £1 ordinary shares

18 Loans and borrowings

	24 December 2016 £ 000	26 December 2015 £ 000
Non-current loans and borrowings		
Finance lease liabilities	-	18

	24 December 2016 £ 000	26 December 2015 £ 000
Current loans and borrowings		
Finance lease liabilities	18	33

19 Obligations under leases and hire purchase contracts

Operating leases - Plant and Machinery

The total future value of minimum lease payments is as follows:

	2016 £ 000	2015 £ 000
Within one year	9,448	12,497
In two to five years	31,217	30,194
In over five years	10,372	10,645
	51,037	53,336

Rent Payable

The lease agreements for this company's properties are managed by fellow wholly-owned Group subsidiaries, and the rents are disclosed in that company.

20 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £3,393,329 (2015 - £2,906,922).

Defined benefit pension schemes

Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

This company and the other participating Group subsidiary company, recognises a cost in its accounts equal to their contribution for the period.

21 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

Share Award Plan

Scheme description

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. The shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

21 Share-based payments (continued)

Co-investment Plan ("COIP")

Scheme description

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. Details of the plan conditions are as follows:
Date of award 2013 2014 2015 2016
Vesting based on growth in profits - from year ended December 2012 2013 2014 2015
for the three-year period ending with the year ended December 2015 2016 2017 2018
Award vests at 25% if profits over the vesting period grow by 6% N/A N/A N/A
Award vests at 15% if profits over the vesting period grow by N/A 8% 8% 8%
Award vests at 100% if profits over the vesting period grow by 12% 20% 20% 20%

If profits grow by a figure between the upper and lower thresholds for each year, the award will vest on a sliding scale.

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.
(iv) Market value options. The vesting conditions for these options are the same as for that year's COIP, which are shown above
(v) Performance share plan. Vesting conditions are as follows:
Date of award 2015 2016
Vesting based on growth in profits - from year ended December 2014 2015
for the three-year period ending with the year ended December 2017 2018
Award vests at 15% if profits over the vesting period grow by 8% 8%
Award vests at 100% if profits over the vesting period grow by 20% 20%

22 Other provisions

	Warranties £ 000	Properties £ 000	Total £ 000
At 27 December 2015	4,205	995	5,200
Additional provisions	3,501	720	4,221
Provisions used	(3,850)	(306)	(4,156)
Unused provision reversed	-	(164)	(164)
At 24 December 2016	3,856	1,245	5,101
Non-current liabilities	3,856	1,245	5,101

23 Trade and other payables

	24 December 2016 £ 000	26 December 2015 £ 000
Trade payables	95,770	86,551
Accrued expenses	32,581	28,487
Amounts due to related parties	500,697	276,868
Social security and other taxes	61,382	58,652
Other payables	1,236	1,677
	691,666	452,235

24 Dividends

	24 December 2016 £ 000	26 December 2015 £ 000
Final dividend of £1,890.00 (2015 - £3,484.00) per ordinary share	189,048	348,419

25 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.

26 Transition to FRS 101

This is the first time that the Company has presented its financial statements under FRS 101 (Financial Reporting Standard 101) issued by the Financial Reporting Council. The following disclosures are required in the year of transition. The last financial statements under a previous UK GAAP (pre - 2015 UK GAAP) were for the 52 week period ended 26 December 2015 and the date of transition to FRS 101 was therefore 27 December 2015.

On adopting FRS101, the Company made adjustments relating to:
- tax on share options
- pensions.

The nature of these adjustments is described below, and the financial effect of the adjustments is shown in the tables which follow.

Tax on share options
Under previous UK GAAP deferred tax was provided for timing differences between when an amount was taxable or allowable for tax purposes and when it was recognised in the profit and loss account. Under FRS 101 deferred tax is provided on temporary differences based upon the discrepancy between the tax base and the carrying value of assets and liabilities. This has given rise to an additional deferred tax asset at 31 December 2014 which relates to future corporate tax deductions for share options.

Pensions
The Company is part of a Group defined benefit pension scheme which covers a number of subsidiaries under common control. Under previous UK GAAP, none of the subsidiaries which participated in the pension scheme was held to be responsible of the assets and liabilities of the scheme, and the cash paid to the scheme in a period from the Group's central bank account was recharged between the participating companies and charged to their individual profit and loss accounts accordingly. Under FRS 101 one of the other participating subsidiaries is now held to be responsible for the scheme's assets and liabilities and the basis of charging in each participating company has altered.

The pensions-related charge in 2015 under previous UK GAAP was higher than that under FRS 101, which has given rise to a difference in the profit and loss account charge for pensions, and a corresponding difference in debtors (relating to amounts recharged between fellow Group subsidiaries).

26 Transition to FRS 101 (continued)

Balance sheet at 27 December 2014

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets				
Tangible fixed assets		65,273	-	65,273
Current assets				
Stocks		140,159	-	140,159
Debtors		673,771	1,055	674,826
Cash at bank and in hand		7,649	-	7,649
		821,579	1,055	822,634
Creditors: Amounts falling due within one year		(434,621)	-	(434,621)
Net current assets/(liabilities)		386,958	1,055	388,013
Total assets less current liabilities		452,231	1,055	453,286
Creditors: Amounts falling due after more than one year		(51)	-	(51)
Provisions for liabilities		(4,296)	-	(4,296)
Net assets/(liabilities)		447,884	1,055	448,939
Capital and reserves				
Share capital		100,000	-	100,000
Retained earnings		334,871	1,055	335,926
ESOP reserve		13,013	-	13,013
Shareholders' funds/(deficit)		447,884	1,055	448,939

Balance sheet at 26 December 2015

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets				
Tangible fixed assets		76,418	-	76,418
Current assets				
Stocks		173,144	-	173,144
Debtors		546,640	354	546,994
Cash at bank and in hand		6,221	-	6,221
		726,005	354	726,359
Creditors: Amounts falling due within one year		(508,157)	7,139	(501,018)

26 Transition to FRS 101 (continued)

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Net current assets/(liabilities)		217,848	7,493	225,341
Total assets less current liabilities		294,266	7,493	301,759
Creditors: Amounts falling due after more than one year		(18)	-	(18)
Provisions for liabilities		(5,200)	-	(5,200)
Net assets/(liabilities)		289,048	7,493	296,541
Capital and reserves				
Share capital		100,000	-	100,000
Retained earnings		172,286	7,492	179,778
ESOP reserve		16,762	-	16,762
Shareholders' funds/(deficit)		289,048	7,492	296,540

Profit and loss account for the year ended 26 December 2015

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Turnover		1,208,829	-	1,208,829
Cost of sales		(461,443)	-	(461,443)
Gross profit/(loss)		747,386	-	747,386
Administrative expenses		(519,548)	7,139	(512,409)
Other operating income		535	-	535
Operating profit/(loss)		228,373	7,139	235,512
Income from other fixed asset investments		(75)	-	(75)
Other interest receivable and similar income		6,485	-	6,485
Interest payable and similar charges		(6)	-	(6)
		6,404	-	6,404
Profit/(loss) before tax		234,777	7,139	241,916
Tax on profit on ordinary activities		(48,943)	(1,327)	(50,270)
Profit/(loss) for the financial year		185,834	5,812	191,646